

Price Target Change — July 10, 2026

U.S. Software

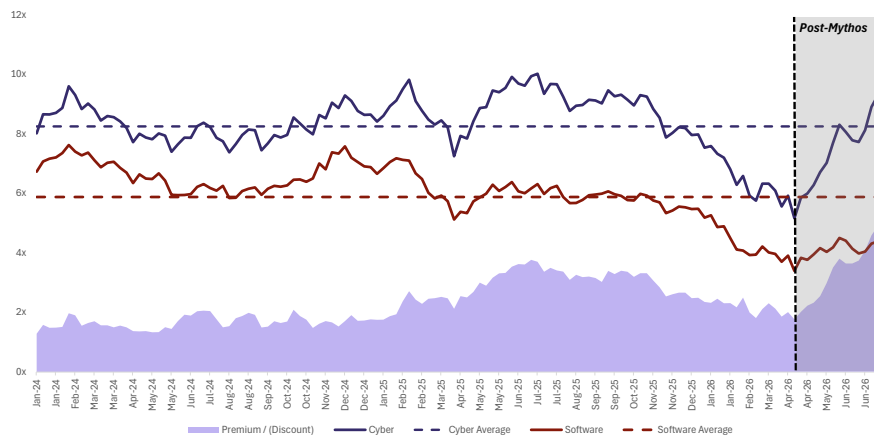
Post-Mythos Debate Series: Preventative Security Sees Temporary Boost

Our Call

In our first of a series, we highlight AI re-prioritizing exposure management; TENB likely beneficiary of rising tide (affirming recent re-rate), yet competition intensifies as category serves as top-of-funnel for platforms (CRWD, PANW, NOW).

Since our initiation, security has been caught in an AI upcycle trade. When Mythos Preview & OpenAI Codex Security first launched, investors balked at positive implications — inbounds revolved around disintermediation risk. Since then, the inverse is true with a focus on how AI scales offense (social engineering, autonomous exploitation), rewires defense (agentic SOCs, machine remediation) and creates new attack surface (models, agents). This opens our debate series on these structural shifts.

Exhibit 1 - Cybersecurity vs Software EV/S Multiples, 2024-Current



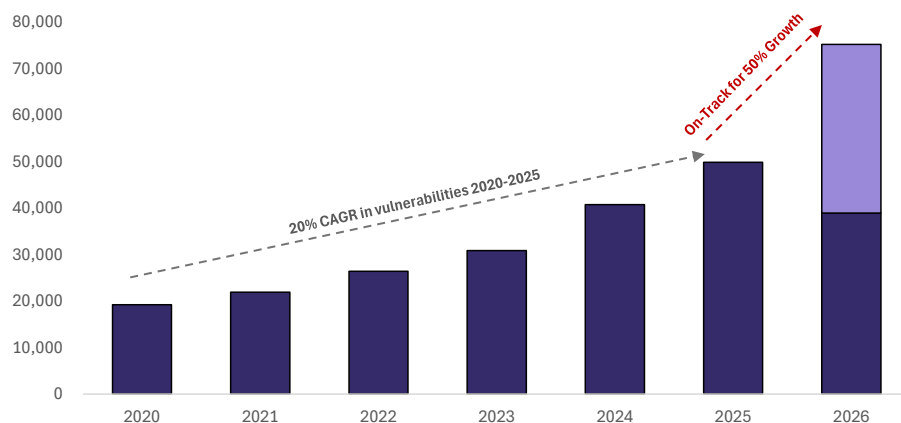
Source: FactSet consensus

Preventative security is seeing at least a near-term demand boost as AI models proliferate vulnerability discovery and exploitation. The signals: (1) board-level attention due to a steady drumbeat of AI-found vulnerability headlines (Verizon highlighted as #1 breach entry point); (2) platforms are validating the category—CrowdStrike, Palo, Microsoft, ServiceNow & frontier labs all leaning in; (3) channel partners we spoke to flagged renewed deal activity & accelerating growth in VM practices.

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Exhibit 2 - Notable Acceleration in # of Vulnerabilities



Source: National Vulnerability Database by NIST

TENB re-rate has fundamental cover; moving price target up to \$43 from \$20. Prior to the recent run (up nearly 93% since Q1 EPS vs IGV +11%), shares were undemanding at a sub-10x EV/FCF multiple (on NTM ests), pricing in near terminal growth. We believe the re-rate is deserved given recent demand improvement in the category, timely changes to Tenable One packaging (stronger carrot to migrate non-platform customers) & reasonably set numbers. Our \$43 PT is based on ~15x EV/FCF on our Fwd NTM ests.

However, competitive risks are unabated—rising tide invites more and bigger boats.

Several vendors, including large platforms (**CRWD**, **PANW**, **NOW**, **MSFT**), each have distinct advantages and access to the same models. CRWD, in particular, has already proven capable of competing head-to-head with a \$300M ARR exposure management business. In addition, there is risk frontier labs extend beyond code layer to discover vulnerabilities across broader attack surface and automating remediation workflows.

AI makes automated remediation plausible—TENB is early in layer where value likely accrues. As discovery commoditizes, value shifts to ranking what matters and automating the fixes. Ranking favors Tenable, fixing favors ITOps/patch management (Tanium, **NOW**) already in the workflow (QLYS entered in 2020). **CRWD** remains one-to-watch. To turn more constructive on TENB, we would like to see proof points the company can move downstream to capture patch management & remediation workflows with Hexa AI.

Financials

Company Name (Ticker)	Rating	Price 07/09/26	FY Rev. (MM)					Price Target		Upside PT	Downside PT	
			2026E Curr.	2026E Prior	2027E Curr.	2027E Prior	FY 2026	FY 2027	To			From
U.S. Software												
Check Point Software Technologies Ltd. (CHKP)	EW	\$138.16	\$2.81B	NC	\$2.97B	NC			\$120.00	NC	\$140.00	\$100.00
CrowdStrike Holdings, Inc. (CRWD)	OW	\$198.40	\$4.81BA	NC	\$5.94B	NC	41.6x	33.7x	\$181.25	NC	\$900.00	\$500.00
Fortinet, Inc. (FTNT)	UW	\$163.73	\$7.77B	NC	\$8.57B	NC			\$70.00	NC	\$125.00	\$45.00
Gen Digital, Inc. (GEN)*	EW	\$25.99	\$2.57A	NC	\$2.87	NC	10.1x	9.1x	\$22.00	NC	\$30.00	\$15.00
Netskope, Inc. (NTSK)	OW	\$12.42	\$709.0A	NC	\$881.1	NC			\$13.00	NC	\$15.00	\$8.00
Okta, Inc. (OKTA)	EW	\$148.84	\$2.92BA	NC	\$3.20B	NC			\$100.00	NC	\$130.00	\$60.00
Palo Alto Networks, Inc. (PANW)	OW	\$338.31	\$11.42B	NC	\$13.92B	NC			\$420.00	NC	\$500.00	\$250.00
SailPoint, Inc. (SAIL)	OW	\$14.85	\$1.07BA	NC	\$1.27B	NC			\$19.00	NC	\$26.00	\$13.00
SentinelOne, Inc. (S)	EW	\$18.86	\$1.00BA	NC	\$1.20B	NC			\$16.00	NC	\$22.00	\$10.00
Tenable Holdings, Inc. (TENB)	EW	\$41.37	\$1.07B	NC	\$1.15B	NC			\$43.00	\$20.00	\$60.00	\$25.00
Varonis Systems, Inc. (VRNS)	OW	\$45.81	\$734.7	NC	\$892.0	NC			\$35.00	NC	\$45.00	\$20.00
Zscaler, Inc. (ZS)	OW	\$147.12	\$3.33B	NC	\$3.91B	NC			\$180.00	NC	\$255.00	\$120.00

* For GEN estimates represent EPS

Source: Company data and Wells Fargo Securities, LLC estimates, and Factset.

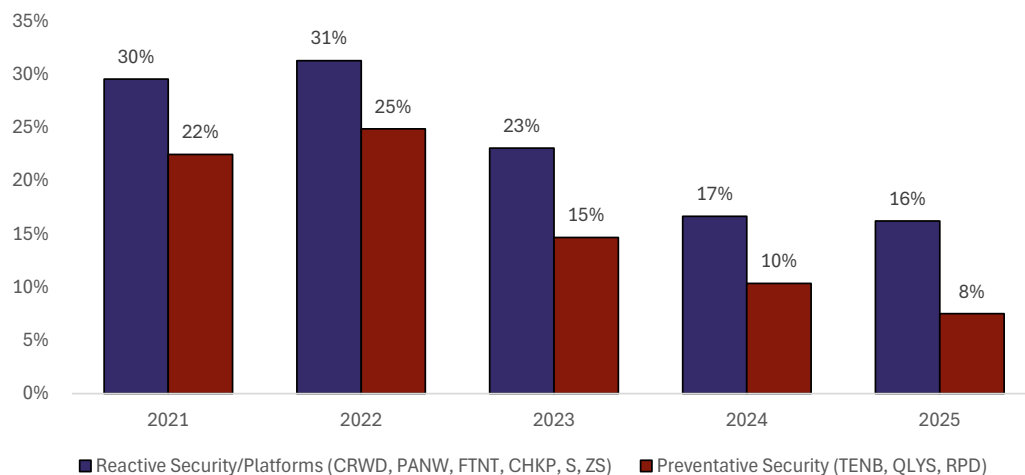
OW = Overweight, EW = Equal Weight, UW = Underweight, NR = Not Rated

NA = Not Available, NC = No Change, NE = No Estimate, NM = Not Meaningful

Why we believe Exposure Management could see a near-term revival

In recent history, preventative solutions have been lower-priority in the cybersecurity value chain, in our view. An oversimplified breakdown is cybersecurity bifurcates into two buckets. The one in focus is preventative security — a set of controls to reduce the likelihood of a breach, often described as "left of the boom." The other is reactive or runtime security — detection and response tools that can say "we shut down 1,000 attacks this week." In recent history, most value has accrued to the second given nobody gets promoted for stopping the breach that never happened. Due to the sheer magnitude of vulnerabilities and a lack of resources available to close every gap and plug every hole, cybersecurity practitioners have adopted a risk-based approach — focus on addressing the most critical risks first. In an AI world, vulnerability discovery becomes 100x easier (adding to the noise) but also opens the door for automated patching and remediation (i.e., do more with less). As such, whether temporary or not, we believe prevention tools could see a revival, especially ones that use AI effectively and as fears around AI-driven exploits gain board-level attention.

Exhibit 3 - Growth in Preventative Security vs Reactive Security, 2021-2025

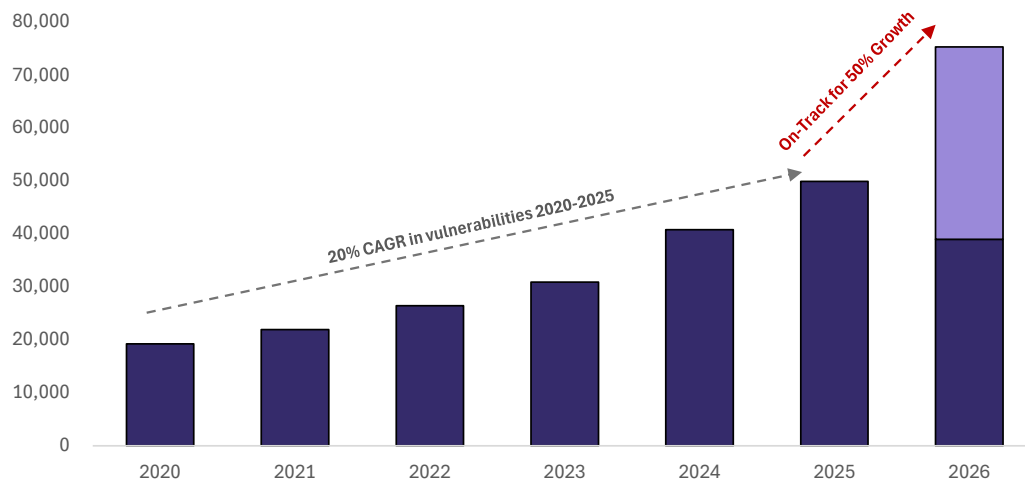


Source: Wells Fargo Securities, LLC and Company reports

AI vulnerability storm could cause a reversal of prioritization back towards preventative security.

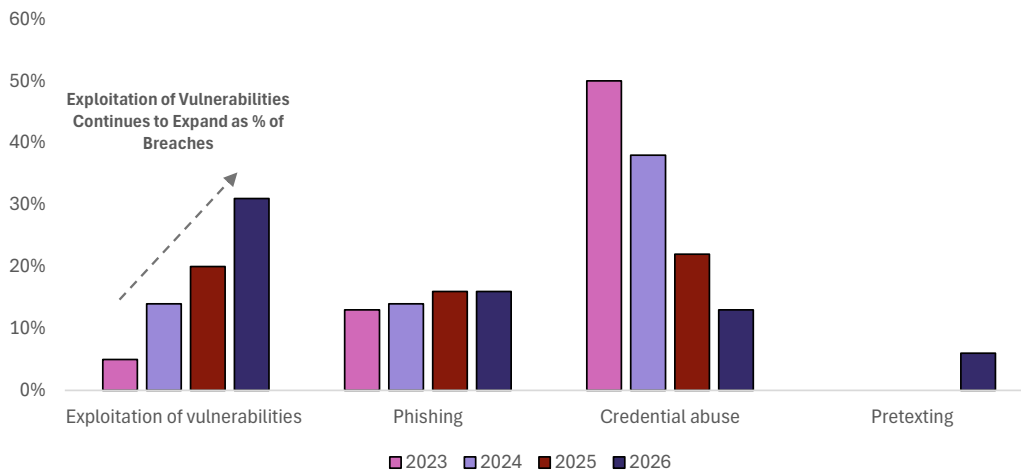
We believe exposure management is seeing a transition from a deferrable purchase to a board-visible and time-sensitive decision following the attention drawn by frontier models' ability to discover and exploit vulnerabilities. As shown in the exhibit below, year-to-date published vulnerabilities (by NIST) are on track for 50% YoY growth compared to a 20% CAGR over the prior five years. In addition, several major independent datasets now show exploitation displacing identity as the primary entry point for attackers; Verizon's Data Breach Investigations Report highlighted exploitation accounting for 5% in 2022 → 14% in 2023 → 20% in 2024 → 31% of breaches in 2025 (first time in 19 years); Mandiant ranked exploits #1 initial access for six consecutive years; and Sophos ranked exploit vulnerabilities the #1 ransomware root cause. These data points, in combination with headlines of AI models finding vulnerabilities in decade-old open-source software (even if not novel) are grabbing the attention of decision-makers.

Exhibit 4 - Notable Acceleration in # of Published Vulnerabilities



Source: National Vulnerability Database by NIST

Exhibit 5 - Exploitations Share of Initial Access Keeps Rising, now #1



Source: Verizon Data Breach Investigations Report, 2023-2026

Categories often revive when an old problem gets a new urgency trigger and a new budget owner.

In this case, the old problem is vulnerability backlog. The urgency trigger is AI-assisted discovery and exploit development. The budget owner is expanding from vulnerability management teams toward CISOs, CIOs, risk committees, and boards. The product buyer still cares about scanners and data quality, but the executive sponsor increasingly cares about whether the organization can show a measurable reduction in exploitable pathways. We believe this could create a near-term revival in the exposure-management space, yet **'revival' does not mean every vendor wins nor every budget line expands indefinitely. It means the category can get new conversations, shorter education cycles, and better attachment to platform deals.**

Our field work supports this nuance. Our discussions with multiple channel partners highlighted, in the near term, that incumbents in the vulnerability management space (Tenable, Qualys) are seeing customers deepen existing relationships, instead of simply renewing what they had before or experimenting with new systems. On multiple accounts, channel partners (with >\$25M in annual revenue per major vendor) highlighted accelerating growth rates in vulnerability management practices (one highlighted growth going from mid-single digits to ~10%, one from low-single-digits to mid, one from 20% to 40% albeit from a smaller base), while one or two pointed to stable growth rates around 5-10%. To us, this bodes well for near-term results from incumbents in the space. However, most, if not all, partners we spoke to expressed longer-term concerns around the durability of this growth improvement for specialists, as the model providers themselves continue to prove capable (at least in Application Security / at the code level) and platform vendors (namely CrowdStrike but also Palo, Microsoft and ServiceNow with Armis) could ultimately commoditize the opportunity. In short, competition only appears to be intensifying and value is expected to increasingly accrue towards automated remediation, where a vendor like Tenable is early days in establishing a presence (compared to Qualys which launched a patch management product five or six years ago).

- One expert said the key challenge remains 'prioritization and remediation,' not discovery. Another said 'no one has enough personnel,' which is the human-capacity version of the same problem. If an AI system raises the count of plausible vulnerabilities, the customer pain is not only more scanning. It is the queue: assigning owners, validating impact, selecting mitigations, testing patches, avoiding downtime, and proving the fix worked. **This is why automated remediation becomes the unlocked market opportunity.** The first generation of vulnerability management created a list. The second generation tried to rank the list. The next generation has to safely reduce the list. The word safely is key. Automated remediation cannot mean a model blindly patches production systems. It means a system can map exposures to owners, propose and test fixes, apply guardrails, trigger workflows, coordinate compensating controls, and verify that exposure actually was remediated.
- The commercial prize is therefore not 'more CVEs.' It is reduced time-to-risk-reduction.** A buyer does not want 200,000 tickets. The buyer wants to know which 2,000 exposures matter, which 200 are urgent, which 20 can be safely fixed today, which 10 need firewall or identity

mitigation because a patch is unsafe. There is also a difference between discovery, exploitability, and production risk. A model can find a code weakness, but that does not prove the weakness is reachable in a specific customer environment. A scanner can find an exposed version, but that does not prove an attacker has a path to a critical asset. An exposure platform earns value by connecting those layers: software weakness, asset context, control context, identity context, exploit context, and business context.

- **The agent is not the scanner and says the better architecture is hybrid: deterministic scans for cheap, repeatable findings and LLM reasoning for cases where there is no simple rule.** We believe this is the right way to think about exposure management too. Models are not a replacement for asset inventory, scanners, package managers, EDR telemetry, cloud configuration data, identity graphs, etc. They become more useful when grounded in those systems. Our field work repeatedly point to the same bottleneck. Security teams already had vulnerability management tools, but the real challenge was moving from findings into prioritization and remediation. Multiple partners described platform consolidation pressure from CrowdStrike, Palo Alto, Microsoft, and SentinelOne. Another said larger vendors can pressure Tenable because customers prefer fewer agents and fewer contracts. These comments do not negate the near-term revival. They explain why the revival may accrue unevenly, in our view.

Exposure management, in our view, sits between three categories that have historically been budgeted separately. The first is **vulnerability assessment**: scanners, CVEs, software versions, and missing patches. The second is **security posture**: cloud configuration, identity permissions, internet exposure, web application weaknesses, and attack paths. The third is **operations**: tickets, ownership, patches, segmentation, and change windows. **Exposure management becomes strategically interesting when those three categories converge around a single executive question: can we reduce exploitable risk faster than attackers can weaponize it?**

We're monitoring for any federal directives or changes that could further drive the category. CISA's 26-04 pushes U.S. federal agencies toward risk-based, faster patching, and a June 2, 2026 AI-security executive order plus new export controls put a federal spotlight on securing AI through the FYE. Pattern recognition suggests security-related executive orders and healthy federal spending are a catalyst for the sector.

We view recent doubling of Tenable's share price as pricing in its position as a potential beneficiary

Last quarter and at the analyst day, there was a clear disconnect between numbers and a refreshed narrative/tone. In Q1, revenue upside was skinniest in eight quarters, growth metrics decelerated and ROY revenue growth guidance was left unchanged at 6-7% YoY. However, management's tone and commentary was noticeably more upbeat than this set of numbers would suggest, pointing to Mythos and OpenAI TAC triggering a surge of inbound strategic customer conversations and the potential rising importance of exposure management. The analyst day extended the mismatch between numbers and narrative with an encouraging case for why value should accrue to them (not away from them) and more details on the new pricing and packaging strategy to drive accelerated migrations to the Tenable One platform but a somewhat uninspiring 2029 target of high-single-digit to low-double-digit revenue growth (vs 2026 guidance of 7-8% growth). We believe the recent demand improvement picked up in our checks could support these numbers proving conservative, which is likely now priced into shares.

The support behind the recent stock move rests on three key points, in our view: (1) AI models dramatically increase the volume and velocity of vulnerability findings, shifting the bottleneck downstream (prioritization, attack-path analysis, automated remediation); (2) renewed interest in the space presents Tenable with a low-friction opportunity to convert customer urgency into Tenable One upgrades (i.e., more functionality) and broader coverage of assets; (3) Tenable One Foundation, a timely launch of an introductory premium SKU, and a shift to flat per-asset pricing lowers the friction to adoption and could accelerate migration paths for legacy customers.

Why Tenable could prove well positioned to capture any initial wave of post-Mythos demand.

Tenable already serves >40,000 customers, including ~65% of the Fortune 500 and ~50% of the Global 2000. When boards and CISOs ask "are we Mythos-ready," we believe most security teams will initially turn to existing vendors, rather than evaluating a new vendor (or experimenting with AI models), since it requires less operational change / procurement friction. Also, Tenable is a trusted brand in the space

with a mature offering — in our view, this bodes well when there is a sense of urgency (vs taking a chance on a potential product roadmap that is unproven).

Pricing and packaging change lowers friction, although not without trade-offs. Moving from standalone VM to Tenable One Foundation is a 6% price uplift, small compared to Advanced at a 60% increase. Foundation could accelerate "platform" adoption and drive long-term stickiness but cannibalize a portion of the near-term expansion opportunity; there is also a risk that customers view Foundation as 'good enough' with the pathway to Advanced proving elusive over time. Similarly, the shift to a flat per-asset pricing model (retiring the legacy model where OT and cloud assets were more expansive than traditional networked devices) could have impacts to existing footprints that offset any accelerated adoption.

Upside from here will be largely determined by the company's ability to then convert customers to Tenable One Advanced, expand asset coverage/consolidate other footprints, and drive Hexa AI adoption. There is still a large legacy installed base of Nessus and/or standalone VM customers that could prove unwilling to upgrade (or churn) and remain a drag on overall revenue growth. Therefore, Tenable has to generate meaningful upside with the key expansion levers (Advanced, asset coverage, Hexa consumption) to overcome the drag. This is why, despite Tenable One's steadily improving adoption, growth has continued to moderate. In addition, there are many opportunities (cloud, OT) where value has accrued away from Tenable (Wiz in cloud, Armis et al. in OT); therefore, to drive durable growth, it needs to prove it can recapture some of that value or ensure it doesn't miss the Hexa AI opportunity that was unlocked by AI.

In our view, the closer Tenable gets to the actual remediation decision, the greater its potential strategic value and pricing power. If Tenable can move downstream with Hexa, it becomes sticky. Hexa capacity is now bundled according to licensed asset count and Tenable One Advanced includes ~5x the monthly Hexa token capacity of Foundation (i.e., creates a virtuous flywheel, where Hexa success could yield more Tenable One Advanced conversion as customers exceed usage limits embedded in the Foundation SKU).

Refreshing Tenable One scenario analysis. As shown below, management has loosely sized Nessus-only (~15% of revenue, ~30,000 customers) and Enterprise (85% of revenue, ~18,000 customers), enabling us to infer ASPs and relative scale of each business. The company also roughly sized Tenable One as ~one-third of revenue growing mid-teens and 3,000 customers, implying ~\$300-330M in ARR.

Exhibit 6 - Revenue Breakdown

Segment	ARR Est. (\$M)	Customers	Implied ASP	Notes
Nessus (paid)	~\$150M	~30,000	~\$5K	\$3-6K range
Enterprise (total)	~\$850M	~18,000	~\$47K	85% of rev
Enterprise (Tenable One)	~\$300M	~3,000	~\$100K	1/3 of revenue
Enterprise (not Tenable One)	~\$550M	~15,000	~\$37K	

Source: Wells Fargo Securities LLC estimates

We can see the implied ASP gap between Tenable One and non-Tenable One enterprise customers is ~\$60K, or roughly 2.5x, which is wider than the 50-100% uplift management previously cites on earnings calls. The reason is likely selection bias, i.e., the ~3,000 customers skew toward larger, more sophisticated enterprises already spending more with Tenable for converting. In other words, not all ~15,000 non-Tenable One customers are equal. To size the opportunity realistically, we segment them into three tiers based on convertibility, apply different assumptions to each tier (probability of conversion, uplift), and calculate the incremental revenue opportunity.

Exhibit 7 - - Segmenting Customers by Spend Propensity

Tier	Est. Count	Current ASP	Profile	Rationale
Tier 1: High	~4,000	\$50-100K+	Large enterprise	6-fig customers with VM + some adjacencies. Strong candidates for full platform.
Tier 2: Medium	~5,000	\$25-50K	Mid-market	Solid VM customers with growing attack surfaces. May adopt T1 for VM+cloud or VM+OT. Moderate uplift expected.
Tier 3: Low	~6,000	<\$25K	Small / on-prem	Smaller customers, could have limited cloud footprint. Low propensity to adopt full platform. Some may never convert.

Source: Wells Fargo Securities, LLC estimates

As shown below, our a scenario analysis to figure out the potential contribution from Tenable One as the cross-sell opportunity continues to take shape. Assuming ~60% of remaining **enterprise** customers convert to Tenable One over the next three years in our base case at an average uplift of ~30%, this would drive ~\$115M in incremental revenue or ~4 points per year to net retention. Ultimately, to meet the ~7% growth guide, this would mean core renewal activity (which management highlighted as pressured), and new logo contribution would need to layer on 3 points.

Exhibit 8 - Sizing TenableOne's Potential Contribution to Growth

Bear Case

Tier	3Y Conv. Rate	Customers	Avg Uplift	Incr. Rev (\$M)
Tier 1	40%	1,600	30%	\$36M
Tier 2	40%	2,000	20%	\$16M
Tier 3	40%	2,400	10%	\$2M
Total	40%	6,000	~20%	\$54M

Base Case

Tier	3Y Conv. Rate	Customers	Avg Uplift	Incr. Rev (\$M)
Tier 1	60%	2,400	40%	\$72M
Tier 2	60%	3,000	30%	\$36M
Tier 3	60%	3,600	20%	\$7M
Total	60%	9,000	~30%	\$115M

Bull Case

Tier	3Y Conv. Rate	Customers	Avg Uplift	Incr. Rev (\$M)
Tier 1	80%	3,200	60%	\$144M
Tier 2	80%	4,000	40%	\$64M
Tier 3	80%	4,800	20%	\$10M
Total	80%	12,000	~40%	\$218M

Overall Scenario Analysis

	Bear	Base	Bull
Customers converted	2,250	3,850	5,250
Conv. rate (of 15K)	15%	26%	35%
Incremental revenue	\$54M	\$115M	\$218M
As % of FY25 rev base	5%	11%	19%
Annualized (3Y avg)	\$18M	\$38M	\$73M
Growth contribution (bps)	180bps	385bps	725bps

Source: Wells Fargo Securities LLC estimates

Adjacent Categories Converge on the Exposure Loop

Pulling the competitive map together, Tenable faces pressure from multiple angles. On one side, endpoint and platform vendors can bundle good-enough Exposure Management into broader contracts. On the other side, workflow and enforcement vendors can own remediation even if they ingest Tenable data. We believe Tenable's response has to be specific: prove it has the highest-fidelity exposure data, prove that Hexa can act across workflows safely, and prove that Tenable One adoption improves measurable risk outcomes. The long-term risk is not that Tenable disappears. It is that Tenable remains important but captures less of the economics than the category would suggest. A scanner can be mission-critical and still not own the highest-value workflow layer. The post-Mythos

opportunity is large because discovery accelerates. The competitive threat is large for the same reason: every platform can now credibly claim it helps customers prioritize and fix what matters.

No single competitor replaces Tenable outright, but collectively they attack every stage of the loop it needs to monetize, several with unique structural advantages — CrowdStrike’s and Microsoft’s bundling economics, ServiceNow’s workflow ownership, Tanium’s real-time patch fabric, Qualys’s remediation head-start, Google’s balance sheet behind Wiz. And the pace is quickening: ServiceNow closed Armis, Microsoft unveiled MDASH, Tanium GA’d Atlas, Wiz GA’d on-prem scanning, and Qualys and Rapid7 shipped agentic validation. **We believe this is why the long-term case on Tenable stays balanced even as the near-term case improves: We believe Tenable can win the demand wave’s early deals on trust and coverage, but holding value requires out-executing on remediation faster than a slew of competitors.**

Exhibit 9 - Competitive Landscape

Vendor	Architecture	Biggest lever vs Tenable	Key Limit
CrowdStrike	Single agent + Flex	Bundled “good-enough” VM via Flex, now sellable into third-party endpoints	Deep authenticated/OT/air-gapped gap; EAP Challenger; \$300M ARR stale
Palo Alto	Exposure in XSIAM	Gives exposure away to pull the SOC platform; caps up-stack expansion	Native scanning nascent (CIS-Windows); ingests others’ scans
ServiceNow/Armis	Agentless + CMDB/ITSM	Owens the remediation workflow of record; Context Engine; OT/IoT reach	Ingests scans, doesn’t scan deeply; <2-month integration “in phases”
Microsoft	Bundled in E5 + MDASH	~Zero marginal price in E5; now building AI discovery (MDASH)	Cloud-only, no US-gov cloud, no air-gapped; MDASH still preview
Qualys	Single agent, remediation-led	Ahead on patchless patching + agentic validation (Agent Val)	Same ~10% growth; still ingests/aggregates; attack-path depth a caution
Rapid7	Pure-play	Vector Command managed validation	Fighting “legacy VM” perception; validation/orchestration cautions
Wiz (Google)	Agentless graph	Cloud-first context + agentic Red Agent; now hybrid server workloads	No deep authenticated on-prem/network-device/OT/air-gapped coverage
SentinelOne	Endpoint agent + service	Endpoint-adjacent VM + Wayfinder exploitability service	Services wrapper, agent-centric
Check Point	Agentless mitigation	Native virtual patching / compensating controls (Veriti)	Not a scanner; gateway-dependent
Tanium	Linear-chain agent	Real-time autonomous patching (Atlas GA)	Agent-only; bolting on external (Censys) and OT

Source: Wells Fargo Securities LLC, Company reports

CrowdStrike is the most direct threat because it is attacking Tenable’s core, not just its expansion. Falcon Exposure Management is built on the same single lightweight Falcon agent that runs the rest of the platform, descending from Falcon Spotlight (agent-based, “scanless” vulnerability visibility) and Falcon Discover (asset inventory). The architectural pitch is that the agent already on the endpoint delivers real-time vulnerability visibility “with no infrastructure overhead,” and CrowdStrike has extended it: Network Vulnerability Assessment turns the installed agent into a network scanner that assesses adjacent unmanaged devices (routers, switches, firewalls) without new hardware, and Falcon Surface (Reposify) adds internet-facing external attack-surface scanning. CEO George Kurtz’s pre-CrowdStrike company was Foundstone, a vulnerability-management firm, and management has been deliberate that it can now deliver “full network endpoint replacements” in exposure management. It disclosed \$300M+ of exposure-management ARR (reported on its F2Q26 call), priced through Falcon Flex. Our own channel work has seen CrowdStrike bundle VM at ~50% effective discounts. CrowdStrike’s Mythos-era go-to-market is Project QuiltWorks (April 23, 2026), which it is careful to call “neither a product nor a single service” but an industry coalition — with Accenture, EY, IBM, Kroll, OpenAI, and (added June 17) AWS and Atos — “to assess, prioritize, and continuously remediate the wave of vulnerabilities in production code now being discovered by frontier AI models.” The commercial hook is that the associated Frontier AI Readiness and Resilience Service is a 12-month subscription purchasable through Falcon Flex dollars. **Our key takeaway: With CrowdStrike positioned as a direct replacement and Flex bundling driving accelerated platform adoption, Tenable could see increased competitive pressure, manifesting in modest share loss on Tier 2/3 workloads (Tenable has high switching costs in Tier 1 workloads; CrowdStrike still lacks Tenable’s depth) and/or pricing pressure.**

Palo Alto attacks the opportunity from the platform, not the product. Cortex Exposure Management “runs on Cortex XSIAM and Cortex Extended Data Lake and unifies data from native and third-party scanners into one analysis engine.” Palo Alto’s own scanning is still early: the May 2026 update to its native network scanner was extending configuration-hardening checks and a new self-service “Vulnerability Ingestion API” for onboarding third-party scanner data. Cortex Exposure Management **still depends on ingesting other vendors’ scans (Tenable, Qualys, Rapid7) for real vulnerability coverage**; native authenticated scanning is nascent. The Frontier AI Alliance (April 17,

2026) pairs integrators with Unit 42's Frontier AI Exposure Analysis. ***We believe Palo Alto is less of a threat to Tenable's core VM business than CrowdStrike but could cut into Tenable's expansion.***

ServiceNow/Armris may be the most underappreciated threat. ServiceNow already sits where tickets, approvals, and change windows live. At Knowledge 2026 (May 5) it launched "Autonomous Security & Risk," integrating Armris asset intelligence and Veza identity into that workflow. Armris adds visibility into devices that do not run agents and may never be fully covered by endpoint tools. If ServiceNow can bring vulnerability findings, CMDB context, and Armris asset intelligence into one place, it can become a control point where remediation is managed even if the scanner data still comes from Tenable. The key strategic risk is that the customer pays ServiceNow for orchestration and pays Tenable mainly for data. In software markets, the orchestration layer often captures more narrative value. The shortfalls are integration risk and the fact that neither ServiceNow nor Armris is a deep scanner. Vulnerability Response and Security Posture Control ingest third-party scans rather than generate them — so in some accounts ServiceNow-Armris may consume Tenable's scans as an input, a coexistence that comes up in our field work.

Microsoft is building AI-native discovery. MDASH — a "multi-model agentic scanning harness" from Microsoft's Autonomous Code Security team (the ex-Team Atlanta group that won DARPA's AI Cyber Challenge) — "orchestrates more than 100 specialized AI agents across an ensemble of frontier and distilled models to discover, debate, and prove exploitable bugs end-to-end," and surfaced 16 CVEs (including four critical remote-code-execution flaws) in a single May 2026 Patch Tuesday cohort. Microsoft's framing — "the harness does the work, and the model is one input" — is essentially the same harness-over-model argument Tenable makes for Hexa, and MDASH's public CyberGym benchmark reportedly rose from 88.45% to 96.55% in under three weeks.

Check Point Exposure Management reached general availability on January 21, 2026, "powered by Cyberint, Veriti, and Check Point's global threat visibility," unifying threat intel, external attack surface and exploitability with "Safe Remediation" — "virtual patching, IPS activation, and indicator enforcement." The engine is the 2025 Veriti acquisition, which pioneered automated cross-vendor virtual patching: applying compensating controls and IPS signatures — including generating a signature for a third-party firewall or WAF — to block exploitation based on findings "from platforms like CrowdStrike, Tenable, and Rapid7." The shortfall is that Check Point is not a scanner: its exposure offering is agentless and API-based, ingesting other vendors' scan results, with enforcement strongest where traffic passes through a Check Point gateway.

Qualys is Tenable's closest listed comparable and has arguably out-executed it on the fixing narrative. Its Enterprise TruRisk Platform pairs a single agent with scanners and passive sensors, and TruRisk Eliminate is "patchless patching, targeted isolation, and other mitigation strategies" plus an AI Patch Reliability Score (launched February 2026, "trained on 150M+ deployed patches") that predicts patch-break risk before deployment, and peer-to-peer patch distribution (June 2026). Its agentic answer to Mythos is Agent Val (March 2026), a validate→mitigate→revalidate workflow that Qualys says narrows "62.5 million raw findings down to 150,000 confirmed exploitable exposures." Qualys' post-Mythos thesis is "AI-assisted research accelerates finding vulnerabilities. It does nothing about what comes after."

Endpoint management → vulnerability management. Tanium is the sharpest example of adjacency collapse. Its native position is autonomous endpoint management (AEM, GA Jan 15, 2026) — a leader in Endpoint Management — built on a single real-time agent already deployed across 36 million endpoints at \$840M ARR (\$490M cloud ARR +29%), including 40 of the Fortune 100 and all US armed-forces branches. At its analyst event, Tanium framed endpoint data as the new IT/security control plane... one endpoint data/action layer across IT Ops, SecOps and exposure, with AI as the interface to query, decide and remediate, and stated clear intent to push deeper into VM / exposure mgmt. The strategic logic is it already owns the action layer (patch, configure, isolate) that VM pure-plays historically lacked. The validation is even an \$840M-ARR endpoint leader now defines its expansion path as exposure management. The convergence is a forward bet, with the hopes of ITOps budgets and security budgets moving toward one workflow (noted buyers today roughly split 50-50 between IT and security), and it is the same budget Tenable is trying to expand into from the security side.

Application security → vulnerability management. The second convergence runs through code, and it is the one the frontier labs are attacking directly. AppSec (SAST/DAST/SCA — testing source code, running apps, and open-source dependencies) was historically a separate market and budget from VM.

Two forces are merging them. First, exposure platforms extended code-to-cloud: Wiz Code, Rapid7 and Tenable ingesting AppSec findings, Palo Alto's Cortex Cloud spanning code to runtime. Second, and more disruptively, AI-generated code is creating vulnerabilities at the rate AI is finding them.

Exhibit 10 - Code Security Vulnerability Commentary

Source (date)	Finding	Read-through
Google (Oct 2024) / Microsoft (Apr 2025)	"More than 25%" of new code at Google is AI-generated; Nadella: "20 to 30 percent" of Microsoft repo code is AI-generated.	The input volume to AppSec is structurally rising.
Veracode (Aug 2025; Spring 2026 update)	45% of AI-generated code samples failed security tests (Java worst at 72%); the Spring 2026 update found the pass rate ~unchanged at ~55% — "larger models did not outperform smaller ones on security."	AI code was previously not getting safer as models improve
Georgia Tech "Vibe Security Radar" (Mar 2026)	AI-tool-attributed CVEs: 6 (Jan) → 15 (Feb) → 35 (Mar 2026); 74 lifetime confirmed, true count est. 5-10× higher.	The AI-code → CVE pipeline is now measurable and accelerating.
Snyk developer research	~80% of developers believe AI tools generate more secure code than humans — the opposite of the measured data.	A perception gap that delays the demand response.

Source: Company reports

Companies Mentioned in Report

Company Name	Ticker	Last Price (07/09/26)
Check Point Software Technologies Ltd.	CHKP	\$138.16
CrowdStrike Holdings, Inc.	CRWD	\$198.40
Fortinet, Inc.	FTNT	\$163.73
Gen Digital, Inc.	GEN	\$25.99
Netskope, Inc.	NTSK	\$12.42
Okta, Inc.	OKTA	\$148.84
Palo Alto Networks, Inc.	PANW	\$338.31
SailPoint, Inc.	SAIL	\$14.85
SentinelOne, Inc.	S	\$18.86
Tenable Holdings, Inc.	TENB	\$41.37
Varonis Systems, Inc.	VRNS	\$45.81
Zscaler, Inc.	ZS	\$147.12

Source: Wells Fargo Securities LLC Estimates, FactSet

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